Democrats set for at least 52 Senate seats

送信者: EG Daily Brief 受信日時: 2026-11-03 22:34

【メール原文】

The US midterm race is breaking late toward Democrats, who will probably win at least a 52-seat Senate majority. Crude prices will remain high even as

Daily Brief
Customize Email Preferences

Democrats set for at least 52 Senate seats

3 Nov 2026 08:26 EST Discover more on the Portal

summary

*
The US midterm race is breaking late toward Democrats, who will probably win at least a 52-seat Senate majority.
*
Crude prices will remain high even as Middle East exports have recovered to near pre-war levels, given depleting inventories and the likelihood of US-Iran re-escalation after the midterms.
*
South Africa’s African National Congress will likely suffer further setbacks in the 4 November municipal elections, eroding support for the national unity government and increasing risks to reform momentum.
*
Fire, drought, and possibly a record El Niño are releasing carbon stored in forests faster than credit safeguards can offset, forcing companies to reassess forest-based climate targets.
*
Countries and sectors in this edition of the Daily Brief include the US, the EU, Brazil, Cuba, Iran, Mexico, Russia, South Africa, Ukraine, Venezuela, geoeconomics, defense, energy, and sustainability.

the top line

US—Midterm race breaks late toward Democrats, pointing to at least 52 Senate seats

*
The midterm race is breaking late toward Democrats, and EG continues to see Democrats as Senate favorites, at 65% odds. This adds up to Democrats probably winning at least a 52-seat Senate majority, via North Carolina, Maine, Texas, Ohio, and Kansas.
*
New York Times/Siena College polls show Democrats leading by 11 in Michigan, seven in Texas, six in Maine, and five in Ohio and Kansas.
*

If no candidate in Alaska receives over 50% of the vote, the race goes to a protracted ranked-choice process that would likely take just over two weeks. If Alaska is the decisive state, Senate control likely won't be decided until mid-November, and the White House would have time to mount a second try at nullifying the election results. EG doubts that attempt would succeed, but it could induce a few weeks of post-election uncertainty.

*

Read more here and register here for our US election update call on 4 November at 10:00 AM ET. Reach out to discuss: unitedstates@eurasiagroup.net .

US, Geoeconomics—Democrats gaining congressional control would likely drive modest fiscal expansion

*

Moving from unified to divided government has historically been associated with declining Treasury yields (read more here), with legislative stasis putting downward pressure on yields.

*

For this election, we expect that a unified Democrat-led or split Congress will lead to a modest fiscal expansion. This could mean that the reaction in Treasury markets to Democrats gaining control of Congress may differ from that in similar historical episodes.

*

The driver of a likely widening deficit if Democrats win congressional control is a bipartisan compromise in which Democrats agree to increased defense spending—though far below the administration's $350 billion request—in exchange for delaying cuts to welfare programs (read more here).

*

Reach out to discuss: geoeconomics@eurasiagroup.net .

US, Iran, Oil—Oil prices will remain high on depleted inventories and risk of re-escalation

*

Crude prices will remain high even as Middle East exports have recovered to near pre-war levels. Earlier disruptions caused by the Middle East conflict eroded both commercial and strategic inventories, which will continue to keep prices elevated.

*

On 29 October, 12 European International Energy Agency members committed to releasing another 42.6 million barrels from strategic oil reserves, evenly split into crude and diesel releases. These releases will help prevent winter shortages, but they will not improve longer-term supply security because they will further reduce already low inventories.

*

Despite the ongoing US-Iran talks, EG sees a significant risk of re-escalation after the US midterm elections this week. The most likely outcome is an intense, short US air campaign, and Iran would likely retaliate aggressively.

*

Read more here and register here for our conference call on 5 November at 11:00 AM ET. Reach out to discuss: ecr@eurasiagroup.net .

South Africa—Fragile coalitions will shift municipal financial control to national government

*

The African National Congress (ANC) will likely suffer further setbacks in the 4 November municipal elections, which could intensify internal succession battles, while the Democratic Alliance (DA) is expected to strengthen its position in key urban areas. Nationally, ANC support will likely remain in the low 30s.

*

EG's basecase of a poor result for the ANC (60% odds) would erode support for the national unity government, increase risks to reform momentum and market sentiment, and weaken business confidence.

*

Fragile coalition governments will further weaken service delivery and financial management. Without local-level governing arrangements between the ANC and the DA, the Government of National Unity will likely increase conditionality for financial transfers to municipalities and strengthen national government control over infrastructure management.

*

However, a relatively good result for the ANC (around 30% or more nationally, a 20% probability) would strengthen President Cyril Ramaphosa's ability to manage the party's selection of a new leader to replace him, with Deputy President Paul Mashatile retaining an advantage as his presumed successor.

*

Read more here and here , and register here for our conference call on 6 November at 9:00 AM ET. Reach out to discuss: africa@eurasiagroup.net .

Sustainability, Brazil, EU—Burning forests will undermine corporate net-zero targets by 2027

*

Fire, drought, and possibly a record El Niño are releasing carbon stored in forests faster than credit safeguards can offset, forcing companies to reassess forest-based climate targets. The global forest carbon sink has fallen to its lowest level in at least two decades.

*

Since 27 September, EU rules have barred claims that a product has a neutral, reduced, or positive climate impact based on greenhouse gas offsets. Combined with continued questions over the integrity of legacy forest carbon credits, the change increases the legal risk of consumer-facing "carbon neutral" claims backed by forest credits.

*

A strong to very strong El Niño will probably persist into early 2027, and lower hydro output could force greater use of gas-fired thermal power and LNG imports in Brazil. That shift would weaken Brazil's appeal as a source of clean electricity for companies pursuing green steel production and low-carbon industrialization targets. Companies that act early to meet government requirements and document their environmental impact will be best positioned as new carbon and nature credit markets take shape.

*

Read more here . Reach out to discuss: sustainability@eurasiagroup.net .

upcoming conference calls

*

4 November 10:00 AM ET—US election update. Register here .

*

5 November 11:00 AM ET—US-Iran talks and the outlook for escalation. Register here .

*

5 November 8:00 PM ET—Implications of the US midterms. Register here .

*

6 November 9:00 AM ET—Local South Africa government elections and political implications looking to 2029. Register here .

eg in brief

US, Latin America, Venezuela—Trump will likely continue Donroe Doctrine despite midterm defeat: Expected Republican losses in both houses of Congress will not have a meaningful impact on President Donald Trump's approach to Latin America, as most relevant policies depend on executive action. That includes the full Venezuela sanctions and licensing framework and trade policies affecting the region. Country-specific priorities include delivering economic gains in Venezuela, securing symbolic change in Cuba, and targeting cartels in Mexico and elsewhere in the region. Even so, Democratic control of Congress would probably bring heightened scrutiny, with investigations likely focused on Venezuela oil deals and revenue management. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Russia, Europe, Defense—Russia's hybrid warfare threat extends to companies: EG Senior Advisor Michael Dempsey expects Russian President Vladimir Putin to continue his hybrid warfare campaign, given that Europe's support for Ukraine shows no sign of easing. Companies in the defense industry and those directly supporting Ukraine's war effort will likely sit at the top of Russia's target list and should act now to protect their employees, especially senior, high-profile executives. Dempsey anticipates that Russia's hybrid operations are highly likely to encourage other state and non-state actors to develop and deploy similar capabilities, and expects data centers to become attractive targets for future hybrid attacks. Read more here . Reach out to discuss: dempsey.sa@eurasiagroup.net .

Upcoming events:

*

3 November: Events: US midterm elections and US Treasury refunding plans; Data: US JOLTS job openings.

*

4 November: Events: South Africa municipal elections; Data: US trade and S&P services PMI; Central bank decisions: Brazil, Poland, and Sweden.

*

5 November: Data: Brazil industrial production and Eurozone PPI; Central bank decisions: Czechia, Malaysia, Mexico, Norway, and UK.

*

6 November: Data: Germany industrial production, US unemployment, nonfarm payrolls, and UMich consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

“I guess I’ll become Mr. Veto. I’m not going to let them ruin it.”—Trump said on the Pod Force One podcast on Monday, when asked how he would respond if Republicans lose control of Congress in Tuesday’s midterms.

EG Daily Brief
DailyBrief@eurasiagroup.net

Now on iOS and Android
Get the Eurasia Group app
Read anywhere · Receive notifications · Reach out to analysts
App Store
Google Play

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmw0o81wo05hr07mxy0xlztnc

Opt Out | Customize Email Preferences